experience intensifies, it remains an open question as to whether the endowment effect is absent for practiced consumers because of experience (treatment effect), or because a prior disposition toward having no such gap leads them to trade more often (selection effect). To provide evidence into this query, I returned to the sports card market approximately one year after the initial sports card trading experiment and examined trading rates for the same group of subjects who participated in the first experiment. Via both unconditional and conditional statistical analyses, which use panel data regression techniques to control for individual static preferences, I find that market experience significantly attenuates the endowment effect.

Whether preferences are defined over consumption levels or changes in consumption merits serious consideration. If preferences are defined over changes in consumption, then a reevaluation of a good deal of economic analysis is necessary since the basic independence assumption is directly refuted. Several experimental studies have recently provided strong evidence that the basic independence assumption is rarely appropriate. These results, which clearly contradict closely held economic doctrines, have led some influential commentators to call for an entirely new economic paradigm to displace conventional neoclassical theory.

In this study, I depart from a traditional experimental investigation by observing actual market behavior. Examining behavior in four field experiments across disparate markets yields several unique insights. First, the field data suggest that there is an overall endowment effect. Second, within both institutions—observed trading rates and explicit value revelation—I find strong evidence that individual behavior converges to the neoclassical prediction as trading experience intensifies.[6]

Overall, List's data and analysis support the idea that trading expertise negatively correlates with endowment bias. Moreover, by examining trading patterns within two separate market institutions, List provided controls for any unobserved effects that may be specific to one trading forum and thereby bias his result. List's findings do not simply pertain to the sports card show or to Epcot, but to both—and can be applied to the investing behavior of private clients.

DIAGNOSTIC TESTING

The following is a brief diagnostic test that can help to detect endowment bias.